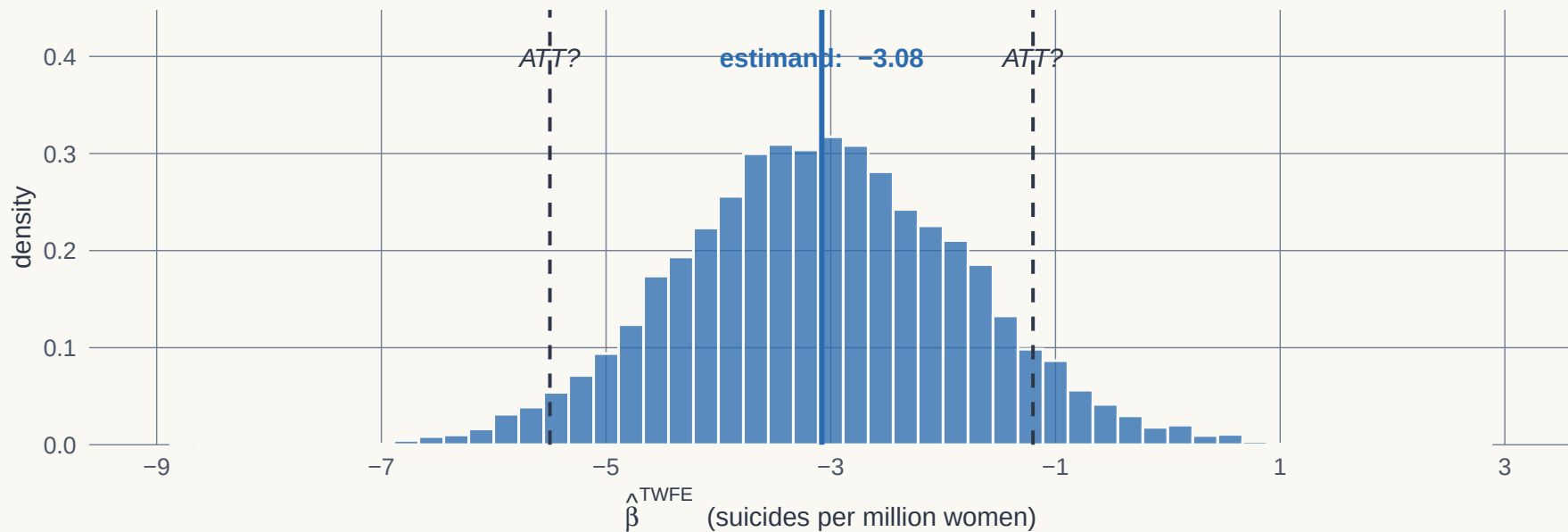


TWFE is unbiased for its estimand

8,000 iid draws of $\hat{\beta} \sim N(-3.08, 1.27^2)$ · Bacon (2021) SW replication



Parallel trends does its job: every 2x2 is a real ATT. Heterogeneous treatment effects are the killer.

The forbidden 2x2 picks up not just ATT but also $-\Delta\text{ATT}$ from the already-treated control. Sign unknown.